INTRODUCTION

Agriculture remains the most important sector of the Indian economy whether it be the pre-independence or the post-independence period. This fact is emphatically proved by the large number of people who depend on it for their livelihood. Before starting any discussion on Indian agriculture, we must look into its ***special features***:

- From monetary point of view the share of agriculture sector in the economy remains at ***14.1 per cent of the GDP***[1]. In the fiscal 1950–51 agriculture accounted for 55.4 per cent in the GDP.
- The share of agriculture has been falling in the country's gross income while industrial and services sectors' shares have been on a rise constantly. But from the livelihood point of view still ***58.2 per cent*** people of India depend on agriculture[2] sector. This makes it a more important sector than the industry and the services (for Nepal and Tanzania the dependency for livelihood on agriculture is still higher at 93 per cent and 81 per cent, respectively). It means that 58.2 per cent of the population lives with only 13.9 per cent of the total income of the Indian economy—this fact clearly substantiates the reason why the people who depend on agriculture are poor. In the developed economies such as the USA, France, Norway, the UK and Japan, agriculture contributes only 2 per cent of their GDP with only 2 per cent people dependent on this sector for their livelihood.
- Agriculture is not only the biggest sector of the economy but also the most free private sector, too. It is the only profession which still carries no burden of individual income tax.
- This is the biggest ***unorganised sector*** of the economy accounting for more than 90 per cent share in the total unorganised labour-force (93 per cent of the total labour force of the economy i.e. 39.7 crores, is employed in the unorganised sector)[3] .
- India is among 15 leading exporters of agricultural products in the world. As per the International Trade Statistics 2011, published by the World Trade Organisation (WTO), India's agricultural exports amounted to US $ 23.2 billion with a **1.7** per cent share of world